

USD-SOP-NALO Floor Time Program

STANDARD OPERATING PROCEDURE
ELI LILLY AND COMPANY
North American Logistics Operations

NALO Floor Time Program

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PURPOSE	This document defines the requirements for routine Process Team and Quality Assurance (QA) oversight of Operations through the Floor Time Program for North American Logistics Operations (NALO). The intent of the program is to foster a culture of operational excellence and quality compliance through intentional and ongoing engagement with frontline resources. This procedure is intended for floor time observations of Lilly-owned facilities only. Third party logistics (3PL) warehouses are out of scope of this procedure.
AREAS INVOLVED	NALO Operations, NALO Quality Assurance
APPROVALS	Approval of this procedure requires the signature of: Management, NALO Operations Management, NALO QA
REFERENCES	CQP-101-4, Floor Time Program
REASONS FOR REVISION	The document was revised in its entirety for process improvements.

PROGRAM OVERVIEW

The Floor Time Program is a method to connect frontline staff with Process Team members and QA representatives. It is designed to document that active QA presence and oversight are occurring.

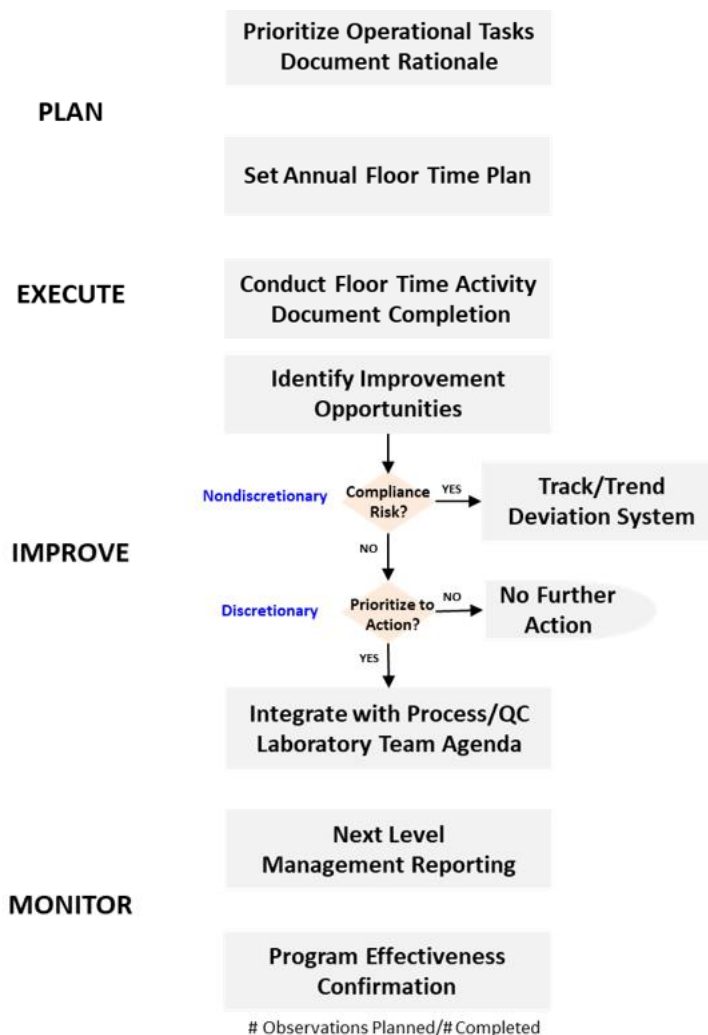


Figure 1 - Overview of the Floor Time Program Process

RESPONSIBILITIES**Quality Floor Time Leader**

1. Owns the Floor Time Program.
2. Creates the work plan in the electronic record database.
3. Approves Floor Time Observations.

Quality Floor Time Leader and Process Team Leader

1. Categorize operational activities based on criticality, complexity, and historical performance.
2. Set the overall Floor Time Program schedule, ensuring the identified operations are covered during the year.
3. Review and approve the work plan in electronic record database.
4. Ensure activities are included in the Process Team agenda for area participation.
5. Work with the Process Team to establish the Floor Time Program Plan.
6. Ensure that improvement opportunities are reviewed by the Process Team and prioritized as appropriate.
7. Ensure conformance to the Floor Time Program and that observations are documented in the electronic record database.
8. Host a review of observations and conformance of the program with Quality Lead Team by the end of Q4 every year.
9. Update the Observation Plan annually and create a new electronic record database work plan.

Process Team and Quality Floor Time Participants

1. Schedule and participate in the observation with frontline resources. Consider appropriate timing, space limitations, and possible distractions.
Note: Area subject matter expert participation is required for the observation.
2. Encourage open sharing from frontline resources by asking appropriate questions and seeking to understand, identify, and remove barriers that could have an impact on the process; educate frontline resources on compliance requirements.
3. Identify improvement opportunities and share them with the Process Team during review sessions. Inform frontline resources of improvement opportunity outcomes that impact their work.
4. Escalate non-discretionary observations to supervision and Quality.

Frontline Resources

1. Participate in the Floor Time Program.
2. Escalate to supervision and Quality any items that impacts the ability to successfully complete the operational task (i.e., procedure not executable as written, practice not aligned with procedure).

Quality Floor Time Participants

Execute and document observation activities in the electronic record database.

**SCOPE,
PRIORITIZATION,
AND PLAN****Scope**

The scope of the program is aligned with the Process Team area of responsibility. The program includes GMP elements (i.e., safety, compliance) as well as non-GMP elements.

Prioritization

1. The program must be structured around frontline operational activities. Operational activities for PDC and EDC can be found in USD-SOP-NALO Floor Time Program, Attachment 1. Activities are classified as high, medium, or low risk depending on criticality, complexity, and historical performance.
2. The Quality Floor Time Leader and Process Team Leader select activities to observe based on:
 - a. **Criticality:** Activities associated with highly critical data, high risk activities, high potential for product loss or safety incident.
 - b. **Complexity:** Activities requiring additional training beyond basic training; activities requiring a witness or scribe; activities where precision is critical to successful outcome.
 - c. **Historical performance:** Activities at higher risk for execution errors, trends in quality, or safety such as housekeeping opportunities and outcomes from quarterly observation trending reports.
3. The Controlled Substance (CS) & Special Security Substance (SSS) areas should be observed, at minimum, quarterly due to the high-risk nature of the products.
4. Operational activities that are not deemed critical, sufficiently complex, or with historical performance concerns can be removed from the plan.

Plan

1. A plan, including the rationale for the operational activities selected for observation, is documented using the electronic record database Activity Planner module.
 2. The observation schedule is randomized to ensure that observations are occurring on different days, involving varied personnel, including engagement of frontline resources from different shifts.
 3. Based on priority, the Process Team and QA sets an overall task observation frequency (i.e., observe selected activities monthly) ensuring a regular cadence of floor time presence.
 4. The plan is approved in the electronic record database Activity Planner by the Process Team Leader and QA Floor Time Leader.
 5. The QA Approver ensures that the rationale for operational task selection and observation frequency is documented in the plan. This is not intended to be a detailed risk analysis but rather is based on the team's knowledge of the area and indicates for each task if the driver is Criticality, Complexity, or Historical Performance. The plan does not need to identify activities out of scope.
 6. The plan is reviewed annually and updated as appropriate (i.e., rationale for prioritization changes, new operational activities to be added) by creating a new plan in the electronic record database for Activity Planning each January. Changes to the approved plan follow the electronic record database Activity Planning process. Date changes are acceptable if the planned activities occur during the year and compliance is confirmed at the end of each year.
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**FLOOR TIME
ACTIVITY**

The Floor Time Program activity includes the observation of identified operational activities, associated work areas, written instructions, and personnel practice vs. procedure. To aid in preparation and execution, review USD-SOP-NALO Floor Time Program, Attachment 1.

Note: Section 4 of USD-SOP-NALO Floor Time Program, Attachment 1 lists examples only and are not required.

The behaviors of the Floor Time team members are key to this interaction to ensure observation is a collaborative exchange of information regarding compliance as well as ideas to drive operational excellence / continuous improvement.

Note: This program is not an audit, but is intended to drive understanding, collaboration, and opportunities for improvement.

**IMPROVEMENTS,
DOCUMENTATION
AND OVERSIGHT****Improvement Opportunities**

During the execution of the Floor Time Program, improvement opportunities may be identified. Improvement opportunities can be:

1. **Non-discretionary:** Improvements with potential quality, compliance, health, safety, or environmental impact. These items are prioritized for action, and the appropriate Process Team member/QA member is consulted to determine next steps (i.e., Quality Representative for a deviation, HSE Representative for safety or environmental impact).

Note: A quality system record must be opened to address the compliance concern.

2. **Discretionary:** Items where the Process Team has latitude to decide whether the improvement will be pursued or not (i.e., clarification of wording that does not impact the operation or understanding by frontline resources).
3. Both Discretionary and Non-discretionary items' decisions and actions are documented and reviewed during the routine metrics presentations, as part of Floor Time Program compliance.

Documentation

At a minimum, documentation of program execution must include the following:

1. Observation Plan overview, including rationale (once in January per team)
2. Each observation execution requires the following information to be documented in a child record:
 - a. Observer(s) name and role
 - b. Activity date and total time
 - c. Location and process area visited
 - d. Operational task watched
 - e. Cross-reference to associated tracking system number if applicable (i.e., Electronic record database work item number or deviation TR#, etc.).

Oversight

A presentation on Floor Time Program compliance will be given to Operations and Quality next level management. This occurs at least annually to Quality Lead Team and its verification of completion documented through a child record associated with the work plan. At minimum, the team provides a metric on the total number of observations planned vs the total number of observations executed and a summary on discretionary/non-discretionary findings.

**APPENDIX A:
OBSERVATION
PLAN TEMPLATE**

The following documentation is an example of the Observation Plan that each team will include in the electronic record database Activity Planner annually:

The Process Team has selected the following activities as shown below for the year. One task will be observed every month by at least one QA team member.

Based on Criticality (these will be used for repeat observation)

- Task 1
- Task 2
- Task 3
- Task 4

Based on Complexity

- Task 5

Based on recent performance and deviation trending

- Task 6
- Task 7

Due to the infrequent nature of the task

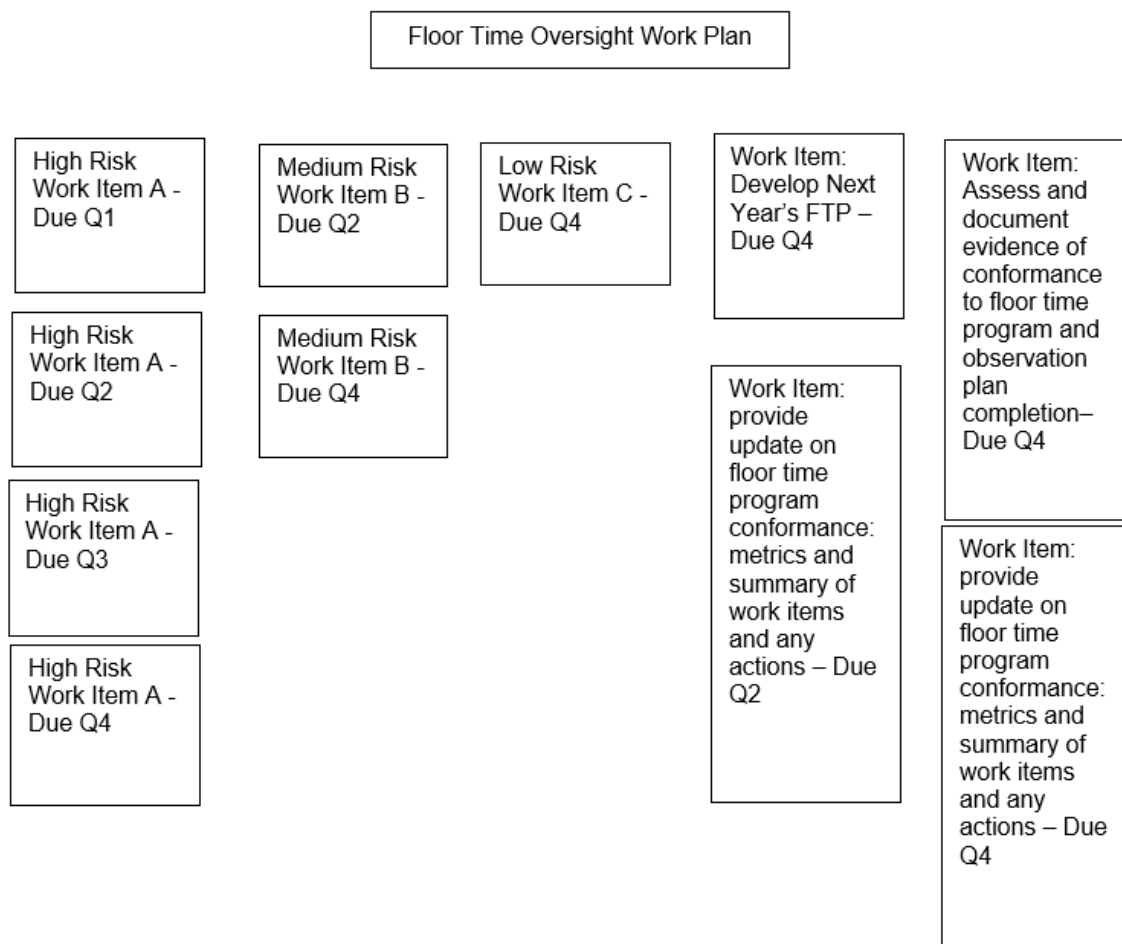
- Task 8
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**APPENDIX B:
ELECTRONIC
RECORD
DATABASE
ACTIVITY
PLANNER
STRUCTURE**

The following structure within electronic record database Activity Planner ensures proper documentation and tracking of the required periodic elements of the program. Additional Work Items are created as needed to align to the Observation Plan. The Work Items can be date-focused or task-focused.

Ensure actions are created to capture the following:

- Assess and document evidence of conformance to floor time program and observation plan completion– Due Q4
- Provide update on floor time program conformance to NALO Quality Lead Team annually: metrics and summary of work items and any actions – Due Q4



Document Approval Signatures

Approved Date: 05 Dec 2025

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Approval Verdict: Approve	Brandon Bowler (L004253@lilly.com) Approver 05-Dec-2025 18:22:12 GMT+0000
Reviewer / Approver Additional Details	N/A